



# Your Financial Report Card

## Understanding Credit Scores

**Grade 6 | Session 1**

Planrs Academy

# The Pencil Loan Story

## **Trust Begins with Small Promises** [cite: 83]

Imagine you borrow a pencil from a friend and return it on time. They trust you. But what if you don't return it? [cite: 84]

Trust takes time to build but can be lost quickly. [cite: 85]

What happens when someone doesn't return what they borrowed? They lose that "Trust Bond." [cite: 86]

In the world of money, banks think just like your friends! [cite: 91]

# What is Credit?

**Credit = Trust** [cite: 88]

Credit means borrowing something and promising to give it back on time.  
[cite: 88]

It is just like borrowing pencils or books from your friends. [cite: 89, 90]

Banks lend money to adults when they **trust** them to pay it back. [cite: 91]

# What is a Credit Score?

## Your Financial Report Card [cite: 93]

A Credit Score is like your financial report card. It shows how well you take care of borrowed money. [cite: 94]

Just as an 'A+' shows you studied hard, a high score shows you are good with money! [cite: 94]

## The Scale

Scores range from **300** (which needs work) to **900** (which is excellent)! [cite: 95]

# The CIBIL Score in India

In India, the most common credit score is called the **CIBIL Score**. [cite: 103, 105]



CIBIL Scale: 300 to 900 [cite: 105]

- **300 = Red Zone:** Needs Improvement. [cite: 106]
- **750+ = Green Zone:** Good Score! [cite: 107]

**Higher Score = More Trust from Banks!** [cite: 108]

## Good vs. Bad Scores

### Good (750+)

- Pays bills on time every month [cite: 115]
- Borrows only what they can repay [cite: 116]
- Banks say "Yes" to loans quickly [cite: 117]

### Bad (Below 600)

- Misses bill payments often [cite: 119]
- Borrows more than they can handle [cite: 120]
- Banks say "No" to loan requests [cite: 121]

**Your habits today shape your financial future tomorrow! [cite: 122, 123]**

# The Good Habits Game

Which actions help your credit score go UP or DOWN? [cite: 131]

## Score UP

- Paying bills on time [cite: 134]
  - Borrowing only what you need [cite: 134]
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## Score DOWN

- Forgetting to pay bills [cite: 135]
- Spending too much money [cite: 135]

Think about which habits **YOU** practice at home! [cite: 136]

## Success Story: Mr. Sharma



Mr. Sharma always pays his electricity and mobile bills on time. [cite: 139]

His CIBIL score is **800**. [cite: 140]

When he applied for a car loan, the bank quickly approved it because they **trusted** him! [cite: 140]

**Good habits lead to great rewards!** [cite: 141]



## Cautionary Tale: Mr. Verma

Mr. Verma forgot to pay his credit card bills for 3 months. [cite: 143]

His CIBIL score dropped to **550**. [cite: 144]

When he asked the bank for a loan, they said '**No.**' [cite: 144]

Now Mr. Verma is working hard to pay his bills on time and rebuild his score. [cite: 145]

**REMEMBER:** Missing payments has consequences, but you can always improve! [cite: 146, 147]

# Why Credit Scores Matter

A good credit score opens many doors in life. Here is how it helps families in India achieve their dreams: [cite: 151, 152]

## Home Loans

For buying apartments and houses. [cite: 153]

## Car Loans

To buy your family vehicle.  
[cite: 154]

## Education Loans

For siblings to study further and go to college! [cite: 155]

## Recap: Key Takeaways

1. **Credit = Trust.** Borrowing and promising to pay back. [cite: 88, 91]
2. **Score = Report Card.** A number from 300 to 900 showing your habits. [cite: 94, 95]
3. **CIBIL is India's Score.** Aim for 750+ to be in the Green Zone! [cite: 105, 107]
4. **Paying on time** is the best habit to grow your score. [cite: 134, 139]



# The Future Saver Quiz

Think carefully about what you have learned today! [cite: 158]

**Question: Which action will help your credit score the most?** [cite: 157]

A) Paying all bills on time

B) Borrowing more money than needed [cite: 159]

C) Forgetting bill payments [cite: 159]

*(Hint: Remember Mr. Sharma!)*